Cockroaches keep distance from opposition

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Indian opposition parties and cockroaches remain divided

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• India: Corvette contract continues naval build-up

• India: Food inflation likely to delay new flex-fuel mandates

• Sri Lanka: Budget will cut income tax, boost infrastructure spending

India
Short-term trajectory:
Long-term trajectory:

Cockroaches maintain neutral stance as Congress consolidates opposition leadership. On 1 November, the opposition Indian National Developmental Inclusive Alliance (INDIA), led by the Congress party, held a large rally in New Delhi to protest the deletion of millions of voters from India's electoral rolls and the conduct of Chief Election Commissioner Gyanesh Kumar. The absence of the youth-led Cockroach Janata Party (CJP) reflects ongoing division between the nascent movement and the broader opposition.

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While the CJP extended its support for the rally, it did not participate directly, as it continues to position itself as a neutral movement.
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Although Kumar's conduct during the electoral roll revisions has been questionable, there is no evidence to suggest that the changes benefited Prime Minister Narendra Modi's ruling Bharatiya Janata Party (BJP) in the Bihar and West Bengal elections, as alleged by opposition parties. The Congress party campaigned on voter deletions this year, but this has yet to translate into electoral success. Voters are far more concerned about economic issues such as unemployment and inflation.
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The rally nevertheless showcased a consolidation of the INDIA bloc around the Congress party and opposition leader Rahul Gandhi. Electoral reversals have weakened several regional opposition parties in the alliance, while others have walked out. This has strengthened the Congress party's dominance in the bloc.

Corvette contract continues naval build-up. On 2 November, the Ministry of Defence signed a $5.7 billion contract with two domestic shipyards to build eight next-generation corvettes for anti-submarine, anti-surface, and coastal defense operations. Although both shipyards are state-owned, they will use private subcontractors. Delivery of the vessels is expected to begin in 2031.

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The corvette acquisition marks a win for the Modi government’s initiative to promote private defense firms, especially start-ups. The ships' propulsion will be supplied by AstraYAN, a relatively unknown Indian start-up that beat German and French competitors to win the contract. The corvettes are expected to carry a mix of Indian, Israeli, Russian, and European weapons and sensors.

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The corvette contract is part of India’s naval build-up to safeguard its maritime trade and supply chains and to deter China. More than 40 warships are under construction and are expected to be delivered over the next three to four years. With these additions, the Navy, which currently operates about 140 vessels, is on track to meet its goal of 155-160 warships by 2030. India has a further target of 200 warships by 2035.

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Several additional vessels are also in the pipeline. India is expected to finalize a pending $8 billion deal to buy six German Type 214 diesel-electric submarines when Modi travels to Europe in mid-December. On 2 November, the Defence Acquisition Council also gave in-principle approval for the Navy’s next-generation destroyer program, at a likely cost of $8.5 billion, with a new class of frigates also in the works.

Food inflation likely to delay new flex-fuel mandates. On 3 November, the government restricted the use of rice and damaged food grains for ethanol production. This follows an October move to curb the use of sugarcane-based feedstocks for ethanol production until November 2027. The restrictions are likely to shift demand toward corn, which already accounts for 44% of production.

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The measures are primarily aimed at curbing food inflation, which rose to 7.7% in September following a weaker monsoon season. Curbs on sugarcane feedstocks were imposed after a sugar shortage prompted India to allow imports for the first time in a decade to cool prices. The government now appears concerned about rice stocks as well. Food inflation accounts for about 37% of India’s overall consumer price basket and could hurt the BJP in upcoming state elections in February and March next year.

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The restrictions will mean India struggles to maintain 20% ethanol blending in petroleum. Much will depend on corn production, which is also expected to fall. Although the government remains committed to future blends comprising 85% and even 100% ethanol, any new flex-fuel mandates are unlikely in the next year (see: India's higher ethanol flex fuel mandate will be delayed for at least a year , 21 July 2026).

Sri Lanka

Short-term trajectory:

Long-term trajectory:

Budget will cut income tax, boost infrastructure spending. Sri Lanka’s upcoming budget, set to be presented to parliament on 12 November, will shift away from post-crisis economic stabilization and

focus on aggressive capital expansion and growth.

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President Anura Kumara Dissanayake has announced plans to provide salaried workers with a tax break by raising the income tax threshold. He also plans to increase government infrastructure spending to unprecedented levels, with 2 trillion rupees ($6 billion) allocated for capital expenditure in the draft budget.

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Much of the infrastructure spending is likely to go toward rebuilding after the cyclone in November-December last year, as well as expanding the country's highway network, upgrading the Colombo port and smaller regional hubs, expanding the Colombo airport, and improving the energy sector. However, the government's ability to implement infrastructure projects is limited. Of the 1.4 trillion rupees ($4.1 billion) allocated for capital spending in 2026, less than 30% had been utilized by September.

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There is fiscal space for expansionary measures thanks to strong revenue, which has grown by 20% owing to higher tax collection and restrained public spending. Healthy revenue has also given the government more room to absorb the impact of higher energy prices. Overall, Sri Lanka posted a primary surplus of 22.3 billion rupees ($66.8 million) in the first nine months of 2026.

Rahul Bhatia
Analyst, South Asia
bhatia.ne@eurasiagroup.net
Pramit Chaudhuri
Practice Head, South Asia
chaudhuri.ne@eurasiagroup.net
Prerna Bountra
Consultant, South Asia
bountra.ne@eurasiagroup.net
EG South Asia Biweekly
southasia@eurasiagroup.net

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